CASE: Sustainable Funds

By Sara Shinde, Bao Nguyen, Nooa von Schöneman and Matias Nieminen

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2. Performance of sustainable investing
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4. Summary and Final Recommendation

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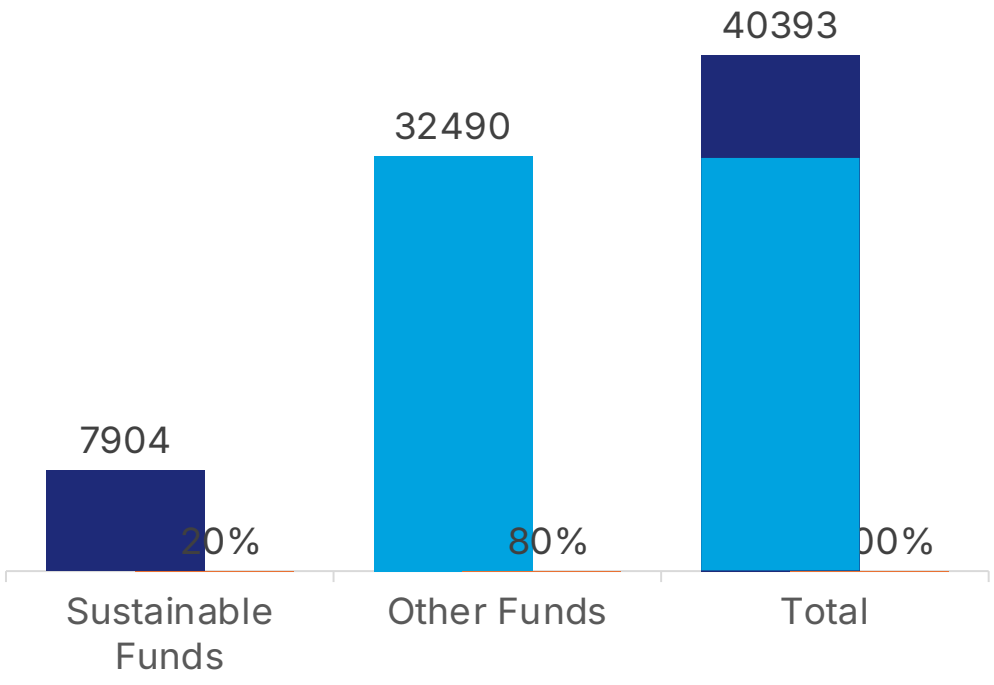
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Market share

In € m

Market share of sustainable funds

As of October 2025



Top funds by size

Sustainable funds	Size, MEUR
Nordea Sustainable Equities Global Fund A growth EUR	6 216
OP-Climate A	786
OP-Clean Water A	327

Other funds	
Nordea Global Enhanced K	5280
Nordea Global Dividend A growth	3463
Nordea Global Passive B K	3048

Changes in fund sizes during 2025

In € m

A net cash flow of -2,024.9 M throughout the sample.

Nordea Sustainable Equities a clear anomaly, shrinking by 2,040.8 M.

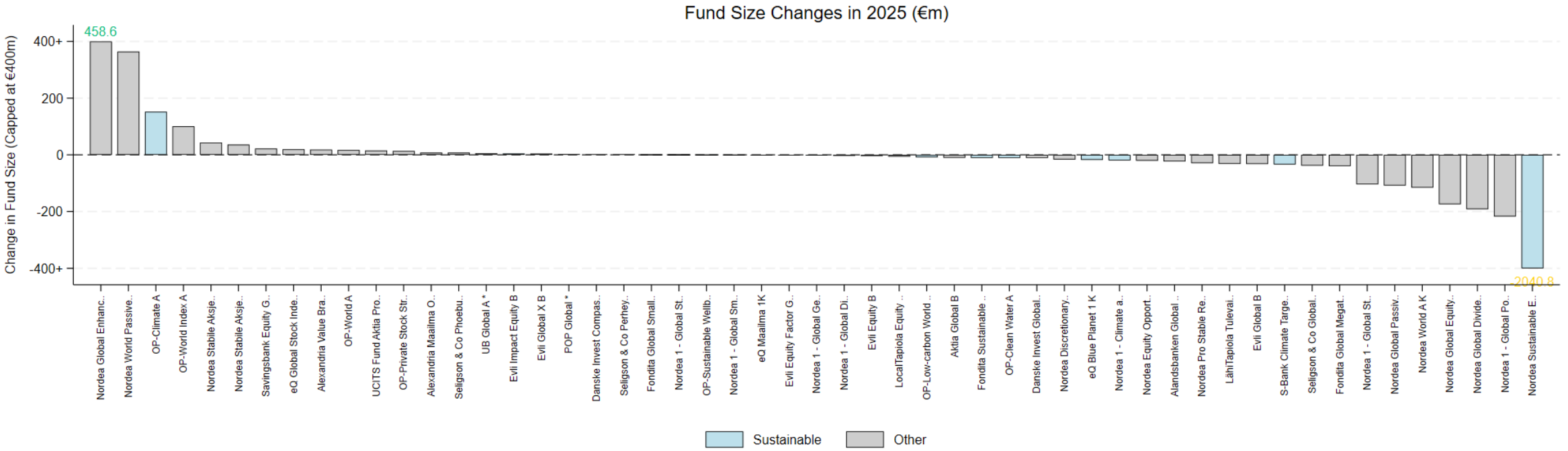
Gross cash flow of all funds combined is 4,631.8 M

People withdrawing money from Nordea 44.1% of gross cash flow!

Biggest changes:

Size, MEUR

Sustainable funds:	Change amount	Other funds	Change amount
Nordea Sustainable Equities Global Fund A	**-2 040,8**	Nordea Global Enhanced K	458,6
OP-Climate A	152,3	Nordea World Passive A K	364.5
S-Bank Climate Target World Equity A	-33,8	Nordea 1 - Global Portfolio BP	-217.2



Funds where no capital flow data available omitted from the chart.[1]

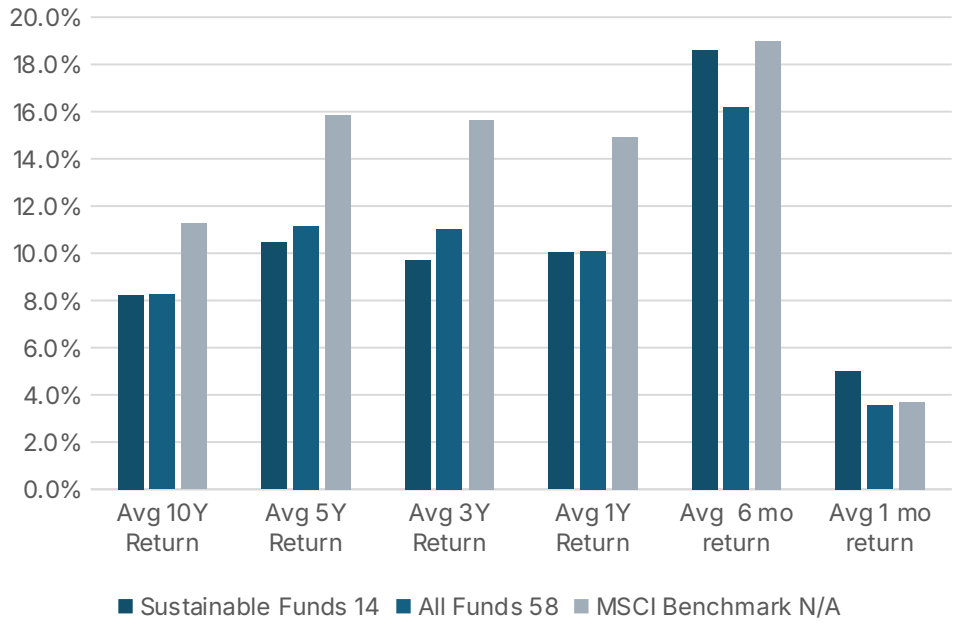
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Performance of sustainable investing

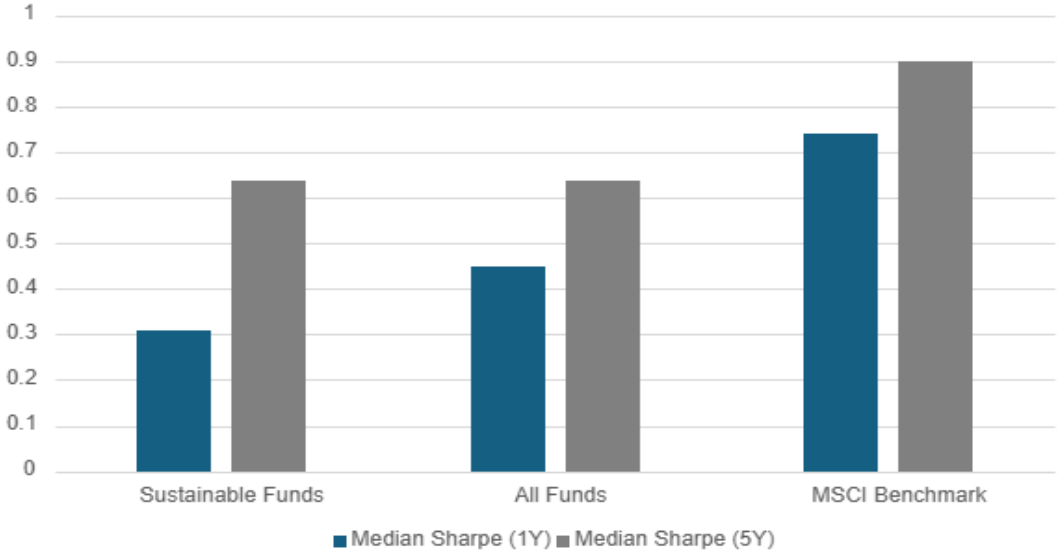
Fund performance by type

Through our analysis, we found that sustainable funds have a slightly lower return compared to the rest of funds in the portfolio. However, in the short-term, sustainable firms outperform their non-sustainable counterparts.



Risk-adjusted return comparison

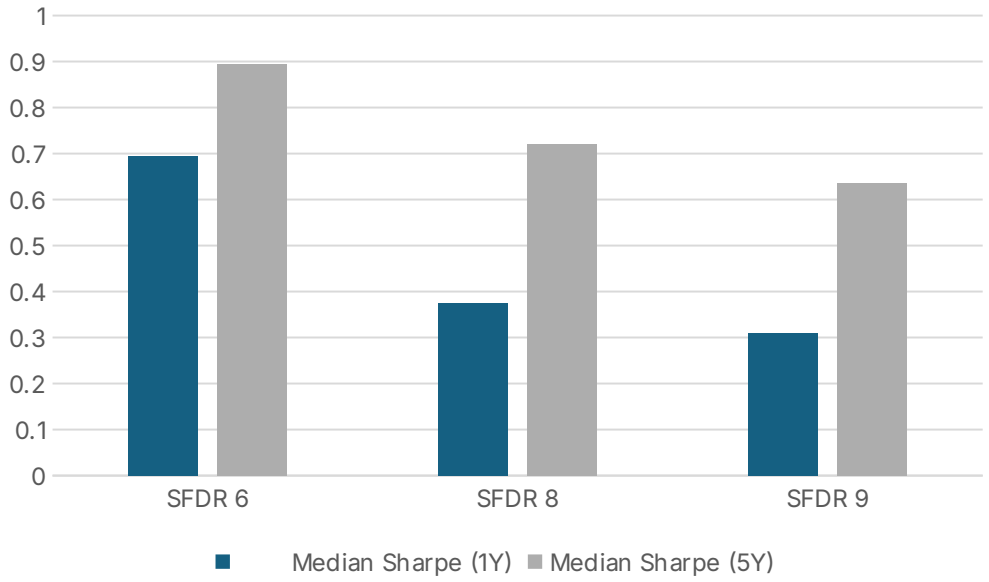
Sustainable funds also have lower risk-adjusted returns compared to non-sustainable firms and the market benchmark.



Performance of sustainable investing

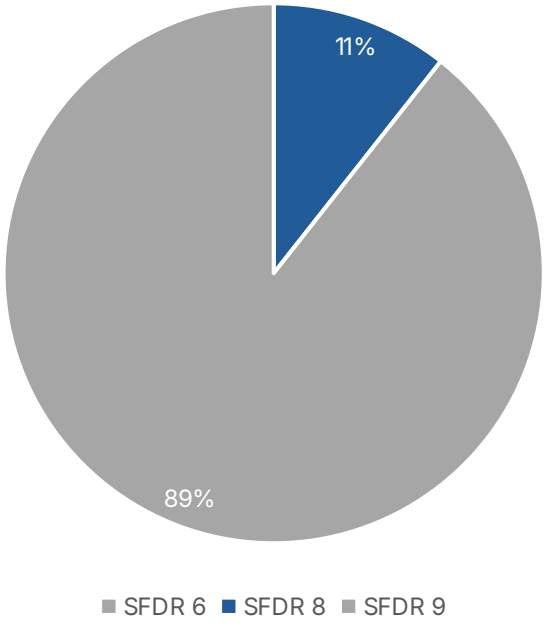
Risk-adjusted return by SFDR category

SFDR 9 funds have lower risk-adjusted returns when compared to SFDR 8 funds. SFDR 6 funds have the highest risk-adjusted returns.



Sustainable fund distribution by category

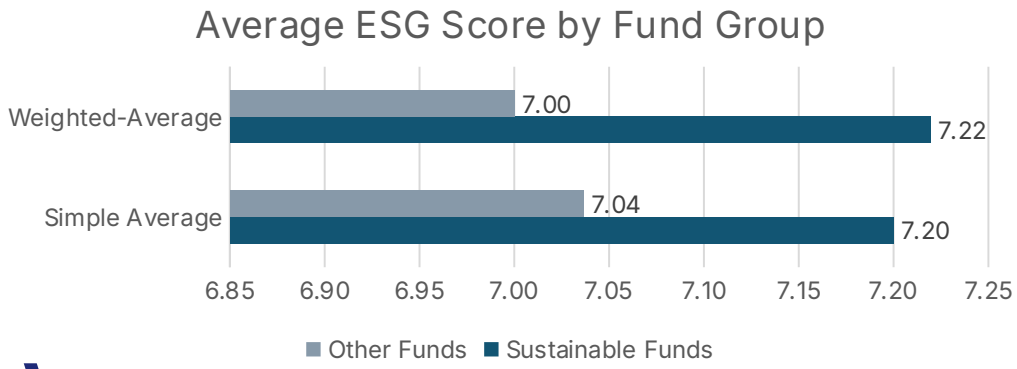
Most sustainable funds fall in the SFDR 9 category (89%), and the SFDR 8 funds are a tiny slice of the market(11%)



ESG Quality Score (EQS): Sustainable vs Other

Comparing the EQS of Sustainable funds vs. Other funds

Key Highlights:



Higher ESG score for Sustainable funds, but only modestly:

- Simple mean gap: 7.35 vs 7.00 (+0.35)
- Size-weighted gap: 7.22 vs 7.00 (+0.22)

Sustainable funds are more heterogeneous: SD 0.489 (Sustainable) vs 0.376 (Other).

Substantial overlap across groups: Among "Other" funds with ESG scores (n=31), 6 funds exceed the Sustainable median.

Highlighting Extremities:

Top-3 includes non-sustainable funds: UCITS Fund Aktia Prosperity A (7.9)

Lowest Score includes a sustainable fund: OP-Clean Water A (6.5)alongside Other funds at 6.4–6.5

Overall, Sustainable funds have a higher average ESG score for both simple and size-weighted calculations. Nevertheless, the difference is small, and there are significant overlap upon closer inspection.

Top 3 funds with highest EQS	Score
Nordea 1- Nordic Sustainable Stars Equity Fund BP – EUR (Sustainable Fund)	8.1
OP-Sustainable Wellbeing A (Sustainable fund)	7.9
UCITS Fund Aktia Prosperity A (Other fund)	**7.9**

Top 3 funds with lowest EQS	Score
Seligson & Co Perheyhtiöt A (Other fund)	6.4
Aktia Global B (Other fund)	6.4
OP-Clean Water A (Sustainable fund)	**6.5**

What van der Beck (2025) tells us

Comparing empirical findings

Highlights

Van der Beck suggests that excess returns from sustainable funds are largely caused by the inflow of capital relative to other funds

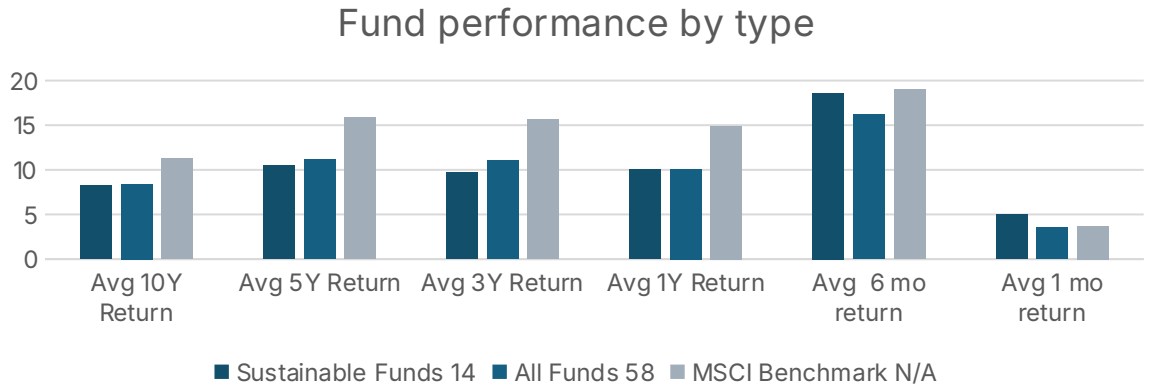
If the continuous relative inflow was to change, the returns would be impacted and excess returns eliminated.

Van der Beck states that every dollar flowing to an ESG portfolio raises the market value of its ESG stocks by 0,8$

Findings

Our findings show an outflow of over 2 billion € from sustainable funds in 2025. Sustainable funds did not meaningfully outperform other funds during the year, which supports Van der Becks argument.

Our analysis does not show a meaningfully larger return for sustainable funds over a 10-year period either (8,5 % vs. 8,3 % p.a. return). This aligns with van der Beck's conclusion that ESG returns are not structural.



Comparison to van der Beck (2025) II

Common themes in ESG scoring

A **ESG portfolios are becoming less distinct from the market**

van der Beck:
ESG-branded portfolios become **more market-like over time.**

For example, **ESG-branded funds were found to have similar holdings to the market portfolio.**

Our evidence:
ESG differentiation is modest, not extreme: ESG Quality Score gap between Sustainable vs Other is +0.22 to +0.35.

6/31 "Other" funds have scores exceed the **Sustainable median**.

Conceptual link:
There is only a moderate differentiation between "sustainable" and conventional funds.

➔ **ESG products increasingly resemble broad-market portfolios.**

Year	# Funds	Avg. AUM	Total AUM	Active Share
2013	51	0.50	25.67	0.58
2014	52	0.60	31.33	0.55
2015	56	0.53	29.96	0.51
2016	59	0.42	24.96	0.47
2017	80	0.35	28.32	0.43
2018	98	0.39	38.03	0.42
2019	109	0.39	42.86	0.37
2020	124	0.51	63.72	0.34
2021	159	0.73	117.66	0.32
2022	212	0.67	140.83	0.31
2023	251	0.57	143.15	0.30

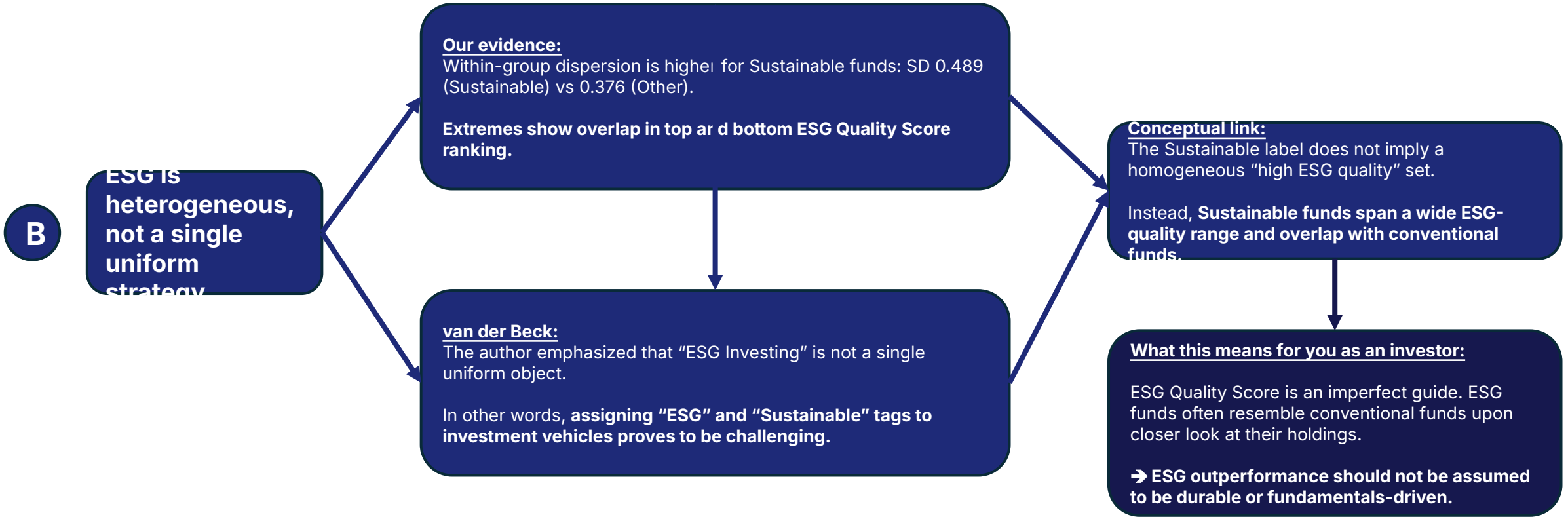
Table 1 from van der Beck's article:

The table shows us that, even with a sharp increase in number of ESG funds over the years, active share declines consistently (from 0.58 to 0.30). In other words, ESG-branded holdings have progressively converged toward the market.

This insights highlight a discrepancy: more ESG product, but less portfolio distinctiveness. ➔ **Even as ESG label proliferates, the aggregate ESG portfolio becomes less differentiated from the market.**

Comparison to van der Beck (2025) II

Common themes in ESG scoring



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Analysis of Marketing Materials

How sustainable funds market themselves

Key Persuasion Techniques

- **Impact on the world:** Sustainable funds highlight that investing is not only about getting return on your investment but about **having a positive impact. ➔ *Do well while doing good***
- **Commitment:** Funds rely on SFDR labels as trust signals. Interestingly, commitment is mostly conveyed through investment process (ESG integrations & exclusions) and less through returns.
- **Risk:** Funds are mainly marketed as **low to moderate risk.** Moreover, Sustainable funds tend to suggest a minimum investment horizon of 5+ years.
- **Performance:** Funds promote that **socially responsible companies thrive in the long run** and they tend to assess return performance by comparing to a benchmark index.

Sources: Nordea.fi, OP, Evli

Our grading rubric

Criterion (equal weighting)	Score
1) Sustainability claim clarity	**0** none/unclear beyond branding | **1** generic ESG | **2** clear theme, vague definitions | **3** clear objective/characteristics + scope | **4** as 3 + clear link to investable universe/eligibility
2) Sustainability commitment	**0** intentions only | **1** qualitative only | **2** one concrete rule but weak/barely binding | **3** multiple binding rules and/or stated minimums | **4** quantified minimums + enforceable rules + remediation (escalation/divest triggers)
3) Risks	**0** missing/boilerplate | **1** basic "value can fall" | **2** risk category but little explanation | **3** risk category + key risks + some monitoring | **4** as 3 + suitability framing (target investor/holding period) + clear controls/limits
4) Returns	**0** no performance in package | **1** selective marketing mention, no context | **2** performance shown, limited context (single period/weak caveats) | **3** multi-period or benchmark-aware + clear caveats | **4** transparent, balanced (multi-horizon, net-of-fees, benchmark, limits)
5) Proof & accountability	**0** no proof/metrics/reporting | **1** vague "we monitor/report" | **2** some indicators but unclear pathway | **3** indicators + reporting channel/frequency and/or stewardship detail | **4** as 3 + clear accountability (escalation and/or divest/removal logic)

Assessment process: *Our analysts follow the grading rubric and mark the funds independently[3], using public material such as website information, factsheets, prospectus, etc. We then take the average of the grading of all analysts to produce our final proposal.*

Analysis of Marketing Materials

Most convincing versus Least convincing funds

Most convincing funds:

Fund name + Final Score	Main Rationale
1) OP-Climate A – 4.0	In general, the top 3 funds all have extensive documents stating their investment strategies and how those strategies tie to sustainable investing: 1. **Claim clarity:** Clear objective and sustainability framing with links to investment (what qualifies as sustainable and what does not). 2. **Commitment:** Clear minimum holding period and binding rules with stated percentage thresholds for each invested sector. 3. **Risk + Return:** Clear and quantifiable risk disclosure. All funds outperformed their respective benchmark.
2) Evli Impact Equity – 3.9	
3) Danske Invest Global Sustainable Future – 3.9	

Least convincing funds:

Fund name + Final Score	Main Rationale
1) Fondita Sustainable World – 2.8	In general, the bottom 3 funds have missing information in key grading criteria: 1. **Claim clarity:** Generic descriptions of claims in public materials (aside from Nordea) & loose link to sustainability aside from connection to Article 9. 2. **Commitment:** Little to no information regarding their commitment in public materials (for example, with eQ Blue Planet, we have to email them to get the fund brochures). 3. **Risk + Return:** All funds pose significant risk for a pension institution due to missing risk measurements and monitoring in public materials (eQ + Fondita). Nordea also has significant risks due to its large outflow.
2) eQ Blue Planet – 3.0	
3) Nordea Sustainable Equity – 3.2	

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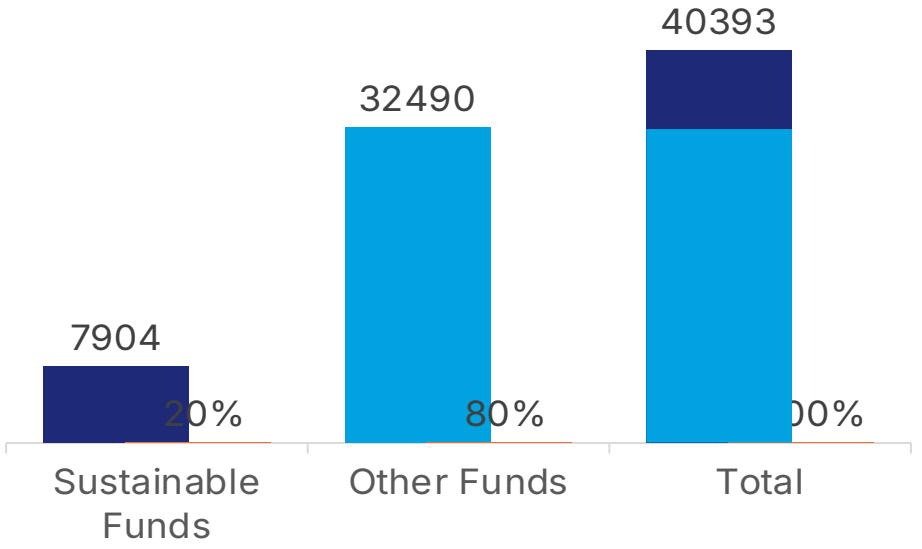
Fund sizes & capital flows

The aggregate sample of funds consists of 40.4 Billion euros worth of assets.

Of this 40.4 Billion, 7.9 Billion were tied to sustainable funds and 6.2 Billion in Nordea Sustainable Equities Global Fund.

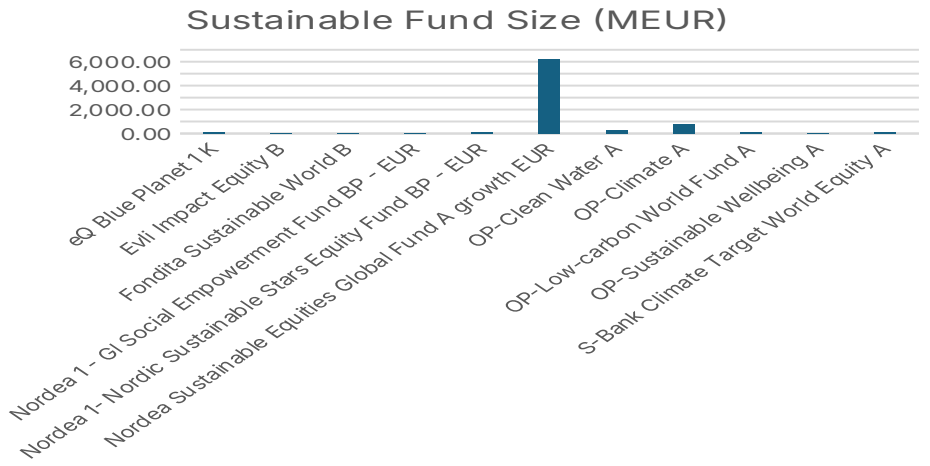
This Nordea fund shrunk by 2.0 Billion during 2025.

Out of the 14 sustainable options, only 6 were larger than 100M.



Top sustainable funds by size

	Size, MEUR
Nordea Sustainable Equities Global Fund A growth EUR	6 216,23
OP-Climate A	786,26
OP-Clean Water A	327,37
OP-Low-carbon World Fund A	121,80
Nordea 1- Nordic Sustainable Stars Equity Fund BP - EUR	109,19



Summary

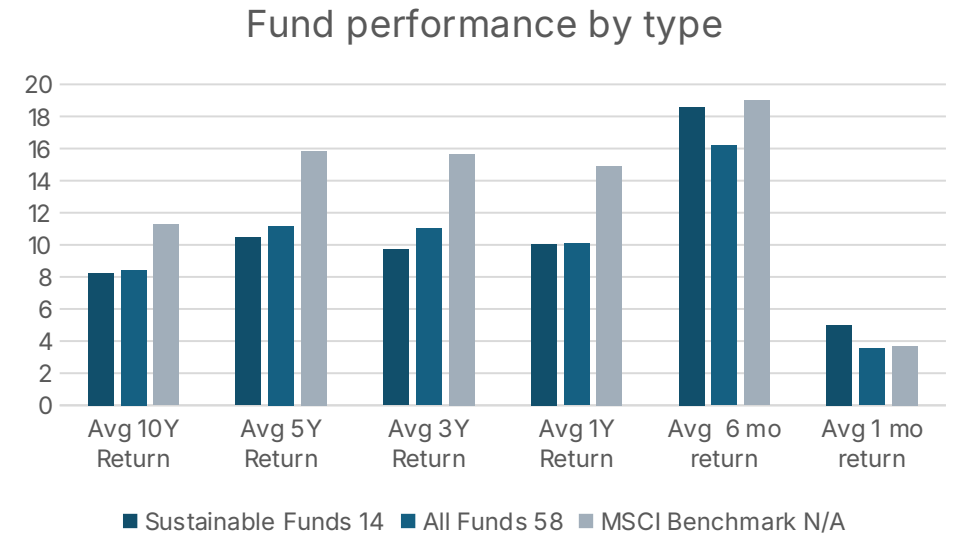
Performance & Environmental Impact

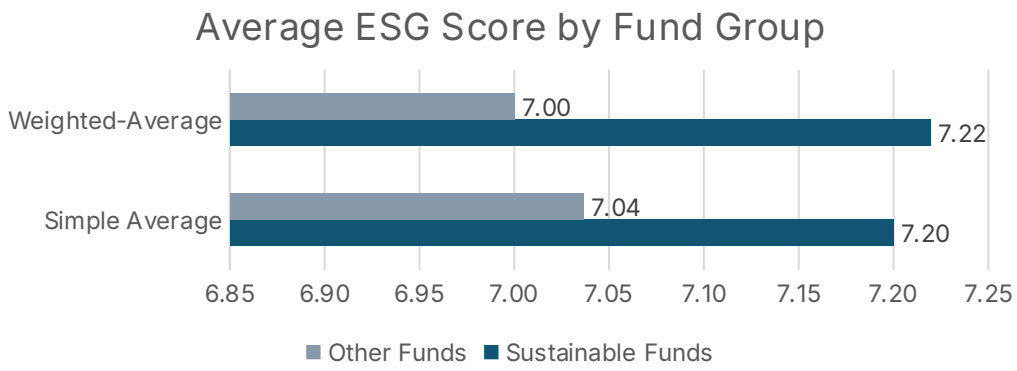
On average the returns of sustainable funds are very close to those of the aggregate sample.

A passive index fund beats the sample average long term due to much lower fees. An actively managed fund would have to outperform the index by a wide margin to be more profitable due to the higher fees.

Choosing a sustainable fund doesn't guarantee a "greener" investment, though on average they score 0,22 points higher on ESG.

Our findings are consistent with van der Beck. It says that the higher short-term returns on sustainable funds are due to increased investor demand. And that the sustainable funds have lower long-term returns than non-sustainable funds.





Summary

Marketing materials

Key Persuasion Techniques

- Double purpose: Gain wealth while having a positive impact on the world
- SFDR labels and being transparent about investment criteria

Differentiators between sustainable funds

- Some funds, and fund management companies, such as eQ, are not transparent about their sustainable investment practices and require potential customers to inquire this information separately

FUND BROCHURES AND RULES

Please contact asiakaspalvelu(at)eq.fi for brochures and rules.

Excerpt from eQ Blue Planet landing page. https://www.eq.fi/en/funds/eq-sininen-planeetta



Final Recommendation

OP Climate A

Financial and Sustainability KPIs

	OP Climate A	Δ vs. Benchmark *	Δ vs. World Index**
5y. Returns	16,2%	+4,3pp (11,9)	+2,8pp (13,4)
5y. Sharpe ratio	0,8	+0,1 (0,7)	+0.1(0.7)
ESG Score	6,7	-0,5 (7,2)	

* The average of all sustainable funds

** The returns of MSCI World Index from the same period [4]

Sustainability Claims

- OP Climate A is more transparent in its investment criteria than the majority of other funds.
- Does not invest in companies that derive more than 5% of their revenue from oil and coal and that do not have strategy to transition into a more sustainable business model.

Key Highlights

- OP Climate A is the second largest sustainable fund in the market (size 786 M€) which better enables large investments typical for a pension institution.
- Acceptable fees. While OP Climate A has an above average*** annual charge of 1,80% it does not have any subscription or redemption fees.
- OP has a good reputation and solvency as the largest bank in Finland.
- OP Climate A has consistently beaten the market average in returns.
- OP Climate a is one of the only sustainable funds that has had a positive net cash inflow during 2025.

*** compared to the average of all sustainable funds

Final Recommendation

OP Climate A

Recommendation in short

OP climate A is an overall well-balanced and managed fund, suited for a pension institution.

The fund has seen a net inflow of cash, showcasing reliability even in turbulent times when the majority of sustainable funds have experienced net outflows.

OP is a large fund in its category which enables lower volatility and larger investments, typical for a pension institution

OP has set out clear guidelines for their ESG funds which means greater transparency.



Footnotes

[1] SLIDE 5 (FULL GRAPH)

[2] SLIDE 10 (ANALYSIS OF MARKETING MATERIALS)

[3] SLIDE 14 (INDIVIDUAL TOP & BOTTOM PICKS)

[4] SLIDE 19 (MSCI WORLD INDEX RETURNS)